

Agenda

- Background of Campus Challenge
- Stages of Competition
 - Round1 – Measuring the Customer Profitability for Premier Product

Round 1

Problem Statement

- Identify the most profitable premier Cardmembers based on attributes such as spend behavior, revolving patterns, riskiness and benefit utilization
- The objective of this problem is to design a framework or equation to quantify cardmember profitability to issuer by incorporating revenues and costs, in order to identify and prioritize the most profitable customers

Overview of Premier Card Product

Key features, rewards structure, credits, and value proposition

POSITIONING & FEE

- Flagship personal ultra-premium card
- Annual Fee: \$500 – \$750
- Target: High-income, frequent travelers
- No preset spending limit (charge card)

REWARDS RATE & MULTIPLIERS

- 5x CC points on flights booked directly / Travel
- 5x CC points on prepaid hotels via Travel
- 1x CC points on all other purchases
- 1 CC points ≈ 1-2 cents (transfer to partners)
- Transfer to 20+ airline & hotel partners

WELCOME & RENEWAL

- Welcome bonus: 80,000-150,000 CC points
- (on spending threshold in first 6 months)
- No renewal bonus; value via annual credits
- Retention offers available upon request

TRAVEL BENEFITS

- Ultra Premium Lounge access (cardholder + 2 guests)
- Priority airport services and travel conveniences
- Premier Airlines
- \$150 - \$250 airline fee credit (select airline/year)
- Trip cancellation/interruption insurance
- Car rental loss & damage insurance

HOTEL & LOYALTY STATUS

- Elite status with luxurious hotel loyalty program
- Premium hotels room upgrades + credits
- Hotel stay credits and special offers (E.g. \$50 - \$150 credit on 2-night stays)

LIFESTYLE CREDITS (ANNUAL)

- \$150-\$250 Cabs credit (\$15/mo + \$20 Dec)
- \$180 - \$280 Digital entertainment credit
- \$105 - \$205 Commerce Stores
- \$250 - \$350 Fitness
- \$50 - \$150 Clothing credit

PROTECTION & INSURANCE

- Purchase protection (120 days, up to \$5K - \$15K)
- Extended warranty (+2 years on purchases)
- Return protection (90 days, up to \$250 - \$350/item)
- Fraud protection with zero liability
- Emergency card replacement worldwide

DIGITAL & APP EXPERIENCE

- Real-time spend notifications & alerts
- CC points tracker & transfer in-app
- Virtual card numbers for online use
- Plan It: installment flexibility
- Offers: targeted merchant deals

Card Member Attributes : Categories

- We have a total of ~23 attributes spread across different categories
- **Attribute Names will be masked and No PII will be shared**

CM spend & balance

- Industry level spends
- Revolve behavior

Benefit Usage

- No of lounge visits
- No of months Cab credits are utilized

Engagement

- No of calls to cancel premier card
- Website logins
- # of Cards held

Profile

- Tenure
- Riskiness score

Dataset Details

You are provided with a dataset having following details:

- Size – 500K records
- Contains only the Cardmember attributes
- Objective: Develop a profitability framework to rank order the cardmembers based on estimated profitability

Evaluation Criteria: Accuracy

- Accuracy measured as percentage of Actual Top 20% vs Top 20% profitable CMs identified
- Main dataset is divided into 2 parts randomly (70/30)

Public Leaderboard:

- Final Score will be Accuracy on 70% data. It will be live leaderboard rank ordered basis attained score and publicly available for students

Private Leaderboard:

- Final Score will be Accuracy on 30% data. It will be hidden leaderboard and published post R1 completion.